

**BANARAS HINDU UNIVERSITY**

B.Com. (Hons.) FMM — Semester II Examination, 2022-23

---

**Paper No. BCF-125: Fundamentals of Banking**

Time: 3 Hours

Maximum Marks: 70

---

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).*

**Question 1.** What do you understand by the term 'Bank'? Discuss the functions and importance of bank in developing economy. [14]

**OR**

Explain the different types of Bank. Give a brief note on history and development of banking in India. [14]

---

**Question 2.** Explain the concept of deposit mobilization. [14]

**OR**

Discuss the various types of relationship between a customer and a banker. [14]

---

**Question 3.** Describe the lending procedure of Bank. What principles should a bank take into consideration in investment of its funds? [14]

**OR**

What is charging of Securities? Throw light on different types of charging by Bank. [14]

---

**Question 4.** Distinguish between Central Bank and Commercial Bank. State the role and functions of Central Bank in a developing economy. [14]

**OR**

"Central Bank is the controller of Credit." Explain this statement and describe the various methods used by Central Bank in controlling the Credit. [14]

---

**Question 5.** Why Development Bank is essential for developing economies? Discuss its feature and functions. [14]

**OR**

Write brief note on any two of the following: [14]

(a) SIDBI

(b) NABARD

(c) Growth of Development Banks in India

[Click here to visit our website](#)

[Click here to visit our contributor](#)

[Click here to visit our contributor](#)